Homework 1: Interest

MNY101 Money Basics. A sample document written for trying Smazy. It is not a real course.

Due on Monday of week 4. Show your working. This homework is worth 30% of the course grade.

Questions

- You save 2,000 at 4% simple interest for 5 years. How much interest do you earn?
- You save 2,000 at 4% compound interest for 5 years. What is it worth at the end?
- Explain in two sentences why the answer to question 2 is larger than the answer to question 1.
- Using the rule of 72, about how long does money take to double at 8%?
- What is the present value of 5,000 received in 4 years if the interest rate is 6%?